

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 25-02

NIELSEN & BAINBRIDGE, LLC v.
OCEAN NETWORK EXPRESS PTE. LTD., ORIENT OVERSEAS CONTAINER
LINE LIMITED, OOCL (EUROPE) LIMITED, EVERGREEN LINE JOINT SERVICE
AGREEMENT (FMC#011982), EVERGREEN MARINE CORPORATION (TAIWAN) LTD.,
EVERGREEN MARINE (UK) LIMITED, ITALIA MARITTIMA SPA, EVERGREEN
MARINE (HONG KONG) LTD., EVERGREEN MARINE (SINGAPORE) PTE. LTD., AND
YANG MING MARINE TRANSPORT CORPORATION

**ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE)
LIMITED’S SUPPLEMENTAL BRIEF IN FURTHER SUPPORT OF THEIR
MOTION TO SEVER**

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “OOCL”) respectfully submit, pursuant to the Presiding Officer’s Order dated June 18, 2025, this Supplemental brief in further support of their Motion to Sever regarding the claims against OOCL set forth in Complainant Nielsen & Bainbridge, LLC’s (“NBG”) Complaint (“Complaint”) and its Omnibus Memorandum in Opposition to Respondents OOCL and Ocean Network Express Pte. Ltd.’s (“ONE”) Motions to Sever and for a More Definite Statement (“Opposition”).

INTRODUCTION

As acknowledged in the Presiding Officer’s June 18, 2025 Order (the “Order”), “there is no common transaction, occurrence or series of transactions or occurrences” surrounding Complainant’s allegation that Respondents colluded not to compete and to charge unreasonable demurrage and detention rates during the COVID-19 pandemic. Order at p. 5. Thus, as the

Presiding officer correctly concluded, Complainant is not entitled to joinder of its claims under F.R.C.P. 20(a). *Id.*

Despite broad assertions to the contrary, there also are no allegations within the Complaint or Complainant's Opposition that the respective "alliances" entered into by the various Respondents acted in concert or otherwise took any collective action such that claims against members of those alliances should be joined.

For the reasons set forth in OOCL's Motion to Sever and as further explained below, the Commission should exercise its discretion and sever Complainant's claims against all Respondents. In specific response to the Commission's June 18 Order, there is no logical basis to group or otherwise collectively join respondents merely because they were part of an alliance during the relevant service contract year.

A. OOCL's Participation in the Ocean Alliance Does Not Warrant its Joinder with Evergreen in this Case.

As stated in the Complaint, OOCL is a member of the Ocean Alliance, which also includes named respondents Evergreen Line Joint Service Agreement (FMC #011982), Evergreen Marine Corporation (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd. (collectively "Evergreen"), and non-parties CMA CGM S.A. and COSCO Shipping ("COSCO"). Complaint at ¶12. Each carrier in the Ocean Alliance (and in all similarly-situated alliances) make their own commercial decisions about how to price and allocate their space; they do not contract or deal jointly with shipper customers like NBG. In particular, the Ocean Alliance Agreement (FMC Agreement No. 012426) provides, in relevant part:

Nothing in subparagraph (a) herein authorizes the Parties to exchange information on freight rates, prices, tariff items, confidential service contract terms or conditions, individual customer lists, individual marketing plans or proposals, or individual bids.

FMC Agreement No. 012426 at ¶ 5.2(b).

Under the foregoing provision and the Shipping Act, members of an alliance are prohibited from discussing detention and demurrage charges and practices between each other. Each member of the alliance must set its own DD rates, free time periods and rules regarding free time. Each also necessarily adjudicate any disputes individually. If an OOCL customer disputes OOCL detention calculations, it raises its dispute with OOCL, not the alliance or another member of the alliance.

There are no allegations in the Complaint that the parties to the Ocean Alliance Agreement (which operate under close FMC monitoring and oversight requirements) are violating those fundamental terms. While the Complaint vaguely asserts that alliances like the Ocean Alliance are “collusive” (*see* Complaint § 51), it makes no specific claims that Ocean Alliance members Evergreen and OOCL acted in concert in any way with respect to NBG. In any Complaint paragraphs that name both OOCL and Evergreen, the Complaint only ever refers to “their respective service commitments” or “their respective provisions of space,” or refers to OOCL and Evergreen *and* ONE, which is not a member of the Ocean Alliance. Complaint §§ 128, 130, 145, 146, 192. There are no allegations that OOCL or Evergreen’s actions were done because of or in connection with their membership in the Ocean Alliance.

In particular, the Complaint does not set forth specific demurrage or detention charged by OOCL against Complainant nor explain why such demurrage or detention was not proper.¹ It also is not possible that demurrage or detention charges by each carrier (whether in the Ocean Alliance

¹ Complainant’s Opposition notes that its Initial Disclosures served to all Respondents specifically lists an amount of \$446,821 in alleged improper detention and demurrage charges against OOCL. (Opp. at 10). However, Complainant’s obligation is to plead, with specificity, regarding its claim in the *Complaint*, not to refer generally to unsubstantiated documents produced as Initial Disclosures.

or not) as against Complainant arose out of the “same transaction or occurrence” since, by their nature, demurrage and detention charges are factually-specific. FMC Docket 1966(I), *TCW, Inc. v. Evergreen Shipping Agency (America) Corp., & Evergreen Line Joint Service Agreement* (Feb. 13, 2025) (order on remand from D.C. Court of Appeals), Slip op. at 15, 18 (reasonableness determinations continue to be decided on particular facts; necessary to make case-by-case determination as to reasonableness of challenged demurrage and detention practices).

To interpret such a broad allegation as a “nucleus of operative facts or law” would essentially allow joinder of any claims against any shipping lines or NVOCCs in any given period. As admitted in the Complaint, 70% of all U.S.-international trade moves by water through U.S. ports. (Complaint ¶ 42). Such precedent would be a dangerous one to set as complainants may be inclined to name any and all carriers with which they have ever interacted in a single complaint with a broad range of allegations.

Moreover, because the Ocean Alliance member carriers are expressly barred from sharing information about customers’ service contract rates, terms, and other data, joining the OOCL and Evergreen cases will make the proceeding unnecessarily complex and unwieldy. Protective orders and other measures would have to be put in place to reduce the potential for Evergreen’s confidential commercial information flowing to OOCL and vice versa in the course of the discovery and briefing. Even assuming that such measures would stop, rather than merely reduce, such improper information flow, it will add a needless layer of difficulty for all the litigants. And if the whole idea is that joinder is warranted because there exists a common nucleus of operative facts, these protective orders to comply with the FMC Agreement necessarily demonstrate that no such common nucleus exists as between Evergreen and OOCL as each does not know the business arrangements made by the other with Complainant. It would be ironic indeed if joinder created information exchange otherwise forbidden to the parties. Further, an allegation of collusion

without any factual basis does not warrant joinder, and Complainant has presented no factual basis that Evergreen and OOCL colluded regarding Complainant's specific claims.

Thus, it does not follow that Complainant's claims against OOCL and Evergreen should be joined.

B. None of the Respondents Should be Joined to the Same Claim Based on their Participation in an Alliance.

Forcing any of the Respondents to be joined in an action with other Respondents merely because those carriers utilized space on shared vessels via alliances would set a troubling precedent. As discussed specifically with respect to OOCL and Evergreen above, in all such alliances each carrier is still responsible for its own shipper relationships and its own demurrage and detention calculations. All alliances likely contain similar language to that of the Ocean Alliance Agreement prohibiting carriers from sharing confidential information about their shipper customers, freight rates, etc.

The existence of "some common questions of law," as acknowledged in OOCL's Motion (Opp. at 5) cannot possibly mean that *any* overlapping issues of law and fact warrant a joinder of claims. OOCL's explanation as to why such overlapping questions are distinguishable is not "baseless" as argued by Complainant (Opp. at 5). Rather, the argument made in OOCL's Motion is one of logic: of course, claims that carriers have violated the Shipping Act will share common questions of fact and law: there will be the same or similar ports involved, because all vessels coming to the U.S. use the same ports; there will be overlap in the participation in various alliances because many shipping carriers participate in alliances; the reasons for detention and demurrage charges may be similar because all shipping lines carried goods from 2020 to 2022, a period of unprecedented world events and delays in the global supply chain. However, none of Complainant's *specific claims* (which the Commission has said must be considered on a case-by-

case basis)(*TCW, supra*; *TZ SSE Buyer v. Yang Ming*, Dkt. No. 24-10, at *21-22 (FMC Mar. 24, 2025) (“Due to the fact-specific nature of whether D&D charges are just and reasonable, it is appropriate to review the charges related to each individual container in order to determine whether a charge was unjust or unreasonable.”); *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, Dkt. No. 22-30, at *70 (FMC April 22, 2025) (“SEA has not established that ZIM is responsible for all of the demurrage and detention charges incurred and has not provided a shipment-by-shipment analysis sufficient to determine why specific containers incurred demurrage and detention charges.”); *Samsung Electronics America, Inc. v. SM Line Corporation*, Dkt. No. 23-01, at *50 (FMC May 28, 2025) (“in the absence of a container-by-container analysis with information as to why each shipment remained in port beyond the last free day, as is the case here, there will generally be insufficient information in the record to determine whether or not the demurrage and detention charges at issue serve their primary intended purpose under the incentive principal of promoting freight fluidity, in accordance with section 545.5.”)), involve the same carrier or the same vessel or the same route or the same shipper or the same charges or the same trucker or railroad or the same terminal or the same **actual facts**. It cannot follow that the mere fact that certain Respondents operate in the same alliance renders them as having any common interest or occurrence regarding Complainant’s claims.

There is, quite simply, no common transaction, occurrence, or series of transactions or occurrences to warrant joinder of the claims against any of the Respondents in this action. All of Complainant’s claims must be severed and proceed separately as against each individual carrier Respondent.

CONCLUSION

For the reasons set forth above and in OOCL's Motion to Sever, the Presiding Officer should sever Complainant's claims as against OOCL into a distinct action, so as to allow it to proceed separately.

Dated: July 7, 2025

Respectfully submitted,

/s/ Keith B. Letourneau

Keith B. Letourneau
BLANK ROME LLP
717 Texas Avenue, Suite 1400
Houston, Texas 77002
(713) 402-7640
Keith.Letourneau@BlankRome.com

Matthew Thomas
Emma C. Jones
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
Matthew.Thomas@BlankRome.com
Emma.Jones@BlankRome.com

Rebecca A. Fenneman
Eric C. Jeffrey
JEFFREY/FENNEMAN LAW +
STRATEGY, PLLC
700 12th St., NW, Suite 700
Washington, DC 20005
Tel. 202-904-2301
RFenneman@JeffreyFenneman.com
EJeffrey@JeffreyFenneman.com

**COUNSEL FOR RESPONDENTS
ORIENT OVERSEAS
CONTAINER LINE LIMITED
AND OOCL (EUROPE)
LIMITED**

CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to all counsel of record in the above-captioned action by email, return receipt requested, on this 7th Day of July, 2025.

/s/ Keith B. Letourneau

Keith B. Letourneau
BLANK ROME LLP
717 Texas Avenue
Suite 1400
Houston, TX 77002
(713) 402-7650
Keith.Letourneau@BlankRome.com